Macroeconomics Video Assessment Script (Concise)

Introduction (0:00 - 1:00)

Welcome to this macroeconomic analysis of central bank responses to economic shocks.
This video will examine how the Ferengi and Vulcan Central Banks react to:
1. A surge in dilithium prices due to an exogenous shock.
2. A decrease in the velocity of money due to the Dominion War.

Central Bank Objectives:
- **Ferengi:** Focus on **price stability**, preventing inflation at all costs.
- **Vulcan:** Focus on **economic stability**, maintaining jobs and output even if inflation rises.

Let's start with the first scenario: Rising Dilithium Prices.

Scenario A – Rising Dilithium Prices (1:00 - 3:30)

The price of dilithium, a critical fuel, has surged due to an external shock, leading to:
- **Inflation**: Higher costs push up prices.
- **Supply Chain Disruptions**: Reduced output and slowed production.
- **Consumer Impact**: Higher living costs and weaker purchasing power.

Using the **AD-AS model**, we see **Aggregate Supply (AS) shifts left**, raising prices while reducing out

Ferengi's Response (3:30 - 4:30)

Ferengi Central Bank prioritizes **inflation control** over economic growth.

■ **Increase Interest Rates**: Higher borrowing costs reduce consumer spending.
■ **Reduce Money Supply**: Limits available cash, slowing demand.

■ **Effect**: The **AD curve shifts left**, lowering inflation but slowing growth and raising unemployment.

Vulcan's Response (4:30 - 5:30)

Vulcan Central Bank prioritizes **economic stability** over inflation risks.

■ **Lower Interest Rates**: Encourages borrowing and investment.
■ **Increase Government Spending**: Stimulates demand through public projects.

■ **Effect**: The **AD curve remains stable**, preventing major economic slowdowns but increasing inflat

Scenario B – Dominion War & Velocity of Money Decrease (5:30 - 7:30)

The **Dominion War** disrupts trade, causing **money velocity (V) to fall**.
Using the **Quantity Equation of Money**:

\(\ M ■imes V = P ■imes Y \)

- If **\(V \) decreases**, without intervention **\(P \) (prices) and \(Y \) (output) will decline**, leading to **

Both central banks must act to prevent economic collapse, but they do so differently.

Ferengi's Response (7:30 - 8:30)

Ferengi takes a **controlled** approach:

■ **Reduce Interest Rates**: Encourages borrowing while keeping inflation low.
■ **Inject Liquidity**: Limited money supply increase to stabilize prices.

■ **Graph**: **Moderate rightward shift in the Money Supply curve**, lowering interest rates slightly.

Vulcan's Response (8:30 - 9:30)

Vulcan takes an **aggressive** approach:

■ **Drastically Lower Interest Rates**: Maximizing borrowing incentives.
■ **Large-Scale Government Spending**: Direct intervention to sustain employment.

■ **Graph**: **Stronger rightward shift in Money Supply**, lowering interest rates further but risking inflatio

Conclusion & Final Thoughts (9:30 - 10:00)

In summary:

- **Ferengi** prioritizes **price stability**, preventing inflation even if growth slows.
- **Vulcan** prioritizes **economic stability**, supporting jobs and output despite inflation risks.

By using **AD-AS models, Money Market graphs, and the Quantity Equation**, we've demonstrated how d

Thank you for watching this analysis!